

Olympiad Test Paper — Social Science (Class 7) — Paper 4

Chapter 20: Banks and the Magic of Finance

Paper 4 — (progressively harder)

Subject	Social Science (NCERT Class 7)
Chapter	20 — Banks and the Magic of Finance
Total Questions	60 (Multiple Choice, single correct)
Maximum Marks	240
Suggested Time	90 minutes

Marking scheme: +4 for each correct answer · -1 for each wrong answer · 0 if unattempted.

Instructions: Each question has four options (A), (B), (C), (D); exactly one is correct. Classic traps: treating a bank as a passive locker rather than a lender that re-circulates most deposits at a higher rate than it pays; reading compound growth as flat simple interest; mistaking the RBI for a place ordinary people bank rather than the banker-to-banks, currency-issuer and regulator; assuming a benchmark-rate RISE makes borrowing cheaper; believing shares are a guaranteed, risk-free saving like a fixed deposit; thinking UPI or a cheque creates new money rather than moving existing rupees; and imagining a genuine bank would ever phone for your OTP, PIN or password (report fraud on 1930). Do not write on this paper — mark answers on your answer sheet.

1. A district inaugurates four projects in one year: a canal, a teacher-training college, a new commercial bank branch, and a stock exchange office. Grouped by the chapter's three infrastructure types, which pairing is correct?

- (A) The canal and the bank both belong to physical infrastructure, while the college and the stock exchange are social.
- (B) All four belong to financial infrastructure, because each cost money to build.
- (C) The bank is financial but the stock exchange is social, since it serves the public.
- (D) The bank branch and the stock exchange both belong to financial infrastructure; the canal is physical and the college is social.

2. Two regions both have first-rate ports and power grids. Region X also has dense bank branches, a busy stock market and instant digital payments; Region Y has none of these. Following the chapter's reasoning, the most likely difference is that Region X can:

- (A) raise, lend and move money quickly to fund and use its ports and grids more fully, because finance complements physical infrastructure.
- (B) demolish its ports and grids, since strong finance now replaces the need for them.
- (C) do nothing extra, because finance and physical infrastructure never affect each other.
- (D) benefit only its wealthiest residents, because banks never reach ordinary people.

3. A teacher says, 'A power grid and a payment system are really the same kind of infrastructure.' The best correction is that:

- (A) they are different types - a power grid is physical infrastructure carrying electricity, while a payment system is financial infrastructure moving money.
- (B) they are the same, because both deliver something useful to homes.
- (C) the power grid is financial and the payment system is physical.
- (D) neither is infrastructure, since only roads count as infrastructure.

4. Why does the chapter say financial infrastructure 'complements' rather than 'competes with' physical infrastructure?

- (A) Because finance is more important and therefore makes roads and ports unnecessary.
- (B) Each does a different job that strengthens the other - physical infrastructure moves goods and energy, while finance moves the money that funds and operates those projects.
- (C) Because finance and physical infrastructure do the exact same job under different names.
- (D) Because the two are entirely unrelated and never interact in an economy.

5. A planner must remove the ONE item that does NOT belong to financial infrastructure from this list. Which should be removed?

- (A) A commercial bank that takes deposits and gives loans.
- (B) A stock market where company shares are traded.
- (C) A digital payments system that moves rupees between accounts.
- (D) A national highway network linking cities.

6. A family wants three things: money locked away for five years at the best interest, a place for everyday saving with easy withdrawals, and an account for a shop making dozens of payments daily. The best matching of FD, savings account and current account is:

- (A) Current account for the five-year lock-in, fixed deposit for the shop's daily payments, savings account for everyday saving.
- (B) Fixed deposit for the five-year lock-in, savings account for everyday saving, current account for the shop's daily payments.

(C) Savings account for all three purposes, since it does everything.

(D) Fixed deposit for everyday saving with easy withdrawals, savings account for the five-year lock-in.

7. A shopkeeper deposits 1,00,000 in cash. By the next week the bank has lent 80,000 of it to a baker and kept 20,000 as reserves. When the shopkeeper later asks to withdraw 30,000, the chapter's view is that the bank can still pay because:

(A) the bank prints 30,000 in new currency notes to hand over.

(B) the bank had kept every rupee of the deposit untouched in a vault.

(C) the bank recalls the baker's loan in full on the same day to pay the shopkeeper.

(D) a bank manages reserves plus ongoing deposits and repayments, so a depositor's right to withdraw stays safe even though most deposits are lent out.

8. A grandmother keeps 50,000 in cash under her mattress; her grandson keeps 50,000 in a savings account at the same bank. After one year, the chapter's reasoning says the grandson's money differs because it:

(A) was less safe than the cash at home and probably lost value.

(B) secretly turned into company shares without him buying any.

(C) was printed into new notes by the bank for its own profit.

(D) earned some interest and, because the bank lent most of it out, helped fund loans in the economy - while the cash under the mattress stayed idle and earned nothing.

9. A student writes: 'A deposit and a loan are the same because both involve a bank and money.' The sharpest distinction the chapter draws is:

(A) in a deposit you take money from the bank, while in a loan you give money to the bank.

(B) a deposit must be repaid with interest, while a loan earns you interest.

(C) both mean money the bank hands over free, with no interest in either case.

(D) in a deposit you give money to the bank and may earn interest; in a loan you take money from the bank and must repay it with interest.

10. A bank advertises: 'Your money is always safe with us, kept untouched in your account.' Which single word is misleading according to the chapter, and why?

(A) 'Safe' - bank deposits are in fact riskier than cash kept at home.

(B) 'Untouched' - the bank actually lends most of your deposit out, even though your balance and right to withdraw remain safe.

(C) 'Account' - banks do not really record deposits in individual accounts.

(D) None of the words is misleading - banks truly leave every rupee untouched in a vault.

11. A saver places 10,000 at 10% compounded yearly. Reasoning the chapter's way (interest on the growing balance), the amount after THREE years is closest to:

- (A) 13,310, because each year's interest is figured on the new, larger balance.
- (B) 13,000, because a flat 1,000 is added each year.
- (C) 11,000, because interest is added only once at the start.
- (D) 10,000, because compounding does not change the balance.

12. Money A earns SIMPLE interest of 10% on 2,000 each year for 2 years; Money B earns 10% COMPOUNDED yearly on the same 2,000 for 2 years. Comparing the total interest each earns:

- (A) Both earn 400, because the rate and time are identical.
- (B) A earns 400 and B earns 420, so compounding earns 20 more because the second year's interest is figured on the grown balance.
- (C) A earns 420 and B earns 400, because simple interest grows faster.
- (D) B earns less than A, because compounding only helps over very long periods.

13. On the doubling-grain chessboard, one grain sits on square 1 and the number doubles on each later square. The number of grains on the 8th square is:

- (A) 16, because you add 2 each time.
- (B) 8, one grain for each square reached so far.
- (C) 64, because the count rises in even multiples of 8.
- (D) 128, because doubling repeatedly (1, 2, 4, 8, 16, 32, 64, 128) makes the count rise extremely fast.

14. A father leaves a sum to compound for his newborn for 18 years; a neighbour withdraws and spends his interest every year so nothing accumulates. The chapter's lesson is that, at the same rate, the father's money will most likely:

- (A) grow more slowly, because money left untouched loses value over time.
- (B) grow by exactly the same total, since only the rate matters, not how long it compounds.
- (C) shrink, because the bank quietly reduces balances that are never touched.
- (D) grow much faster, because leaving the interest in lets it earn interest on interest year after year.

15. A bank shows a graph: the simple-interest balance rises as a straight line, while the compound-interest balance rises as a curve that bends upward over the years. The upward bend happens because:

- (A) the bank secretly raises the interest rate each year on the compound account.
- (B) the saver quietly deposits extra money into the compound account each year.
- (C) each year's interest is added to the balance and then itself earns interest, so the amount added grows larger every year.
- (D) compound interest ignores the original principal and grows entirely on its own.

16. A baker borrows 1,00,000 to buy an oven and over a year repays 1,07,000. Reading the parts of the loan the chapter's way, the 7,000 is the _____, and the 1,00,000 is the _____.

- (A) interest (the cost of borrowing for that time); principal (the original sum borrowed).
- (B) principal; interest, because the larger figure is always the interest.
- (C) dividend; deposit, because the baker earned a profit share.
- (D) benchmark rate; reserve, because the RBI set both figures.

17. When deciding whether to approve a loan, the deepest reason a bank checks that the borrower can repay is that:

- (A) the bank prints the loan money itself, so a default costs it nothing.
- (B) the money it lends is largely other people's deposits, so an unrepaid loan puts depositors' savings and the bank itself at risk.
- (C) loans are gifts the bank merely hopes will be returned out of kindness.
- (D) the RBI automatically repays any private loan a borrower fails to pay.

18. The word 'credit' comes from the Latin 'credere', 'to trust'. Which situation best shows why that root fits how a bank lends?

- (A) The borrower hands the bank money to keep safe for a year.
- (B) The bank hands over money now, trusting the borrower will repay it later with interest.
- (C) The RBI prints fresh currency notes it does not expect back.
- (D) The bank sells the borrower a unit of ownership in a company.

19. A microloan scheme lends a trader 1,000 at 20% per year compounded; she repays after two years. The total she owes is:

- (A) 1,400, because a flat 200 is added each year.
- (B) 1,200, because interest is charged only once.
- (C) 1,440, because the second year's 20% is charged on the grown balance of 1,200.
- (D) 1,000, because the loan amount never changes.

20. A child asks, 'If a bank lends my deposit to others, how is it fair that I still get interest?' The chapter's best answer is:

- (A) the bank earns more from lending your money to borrowers than the interest it pays you, and it shares part of that earning back with you.
- (B) the government pays you the interest because the bank keeps your money idle.
- (C) the bank prints fresh notes equal to your interest each year.
- (D) borrowers refuse to repay, leaving the bank extra money to pass on.

21. A bank pays depositors 5% and charges borrowers 11%. On 4,00,000 of deposits, of which it lends out 3,00,000, its rough yearly position is:

- (A) pay 44,000 and earn 15,000 - a net loss of 29,000.
- (B) break even, because the rates paid and charged are the same.
- (C) earn 64,000, by charging 16% on all 4,00,000.
- (D) pay 20,000 in interest, earn 33,000 in interest - a net gain of 13,000.

22. Village P's adults mostly bury cash at home; Village Q's adults mostly keep the same total in bank deposits. The chapter suggests Village Q's economy benefits more chiefly because:

- (A) banks burn deposited money for safety, removing it from circulation.
- (B) buried cash earns interest while bank deposits earn none.
- (C) the deposited savings are lent out as loans for homes, farms and businesses, putting the money to work locally and beyond.
- (D) deposits are immediately shipped abroad to help other countries.

23. Which single situation is the clearest example of your deposit 'working in the economy' rather than lying idle?

- (A) Your deposit is sealed in a locker with your name on it for the year.
- (B) Part of your deposit is lent to a farmer to buy seeds for the coming harvest.
- (C) Your deposit is converted into gold bars and stored in a vault.
- (D) Your deposit is mailed back to you in cash every month.

24. A person paid only in cash cannot save safely and must borrow from a moneylender at a steep rate. Inclusive banking of the Jan Dhan kind would most directly help by:

- (A) giving them a bank account so they can save securely and, in time, reach formal credit at fairer terms.
- (B) banning them from ever borrowing money again.
- (C) forcing them to put all their cash into company shares.
- (D) removing any need for them to save at all.

25. The deepest aim behind the Jan Dhan Yojana opening accounts for everyone, the chapter suggests, was to:

- (A) limit banking to people who already had accounts and savings.
- (B) hand out free money to every account holder each month.
- (C) replace banks with a return to barter for the poor.
- (D) bring savings, payments and credit within reach of all, so even those once left out can save safely and borrow when needed.

26. Match the two landmarks to their years: the establishment of the Reserve Bank of India, and the launch of the Jan Dhan Yojana.

- (A) RBI established 2014; Jan Dhan launched 1935.
- (B) RBI established 1950; Jan Dhan launched 1853.
- (C) RBI established 1935; Jan Dhan launched 2014.
- (D) RBI established 1853; Jan Dhan launched 1950.

27. A child asks to open a personal savings account directly at the Reserve Bank of India. The correct response is:

- (A) the RBI is the central bank for banks and the government, not a place where ordinary people open accounts; the child should use a commercial bank.
- (B) yes, the RBI is the main bank where all citizens keep their savings.
- (C) yes, but only adults are allowed to open RBI savings accounts.
- (D) no, because the RBI has no role in money or banking at all.

28. Which task is performed by the RBI but NOT by an ordinary commercial bank?

- (A) Printing the country's currency notes.
- (B) Accepting savings deposits from individual customers.
- (C) Giving home loans to families.
- (D) Letting customers withdraw cash from their own accounts.

29. A newspaper lists four actions by the RBI in one month. Which one falls OUTSIDE its described roles?

- (A) Printing new currency notes.
- (B) Opening a chain of pocket-money savings accounts for individual schoolchildren.
- (C) Changing the benchmark interest rate.
- (D) Supervising commercial banks for safety.

30. Saying the RBI is the 'banker to banks' captures which relationship most accurately?

- (A) The RBI competes with commercial banks to win ordinary customers' savings.
- (B) The RBI is owned and run by the country's largest commercial bank.
- (C) The RBI lends only to foreign banks, never to Indian ones.
- (D) Commercial banks hold accounts with, and can borrow from, the RBI, just as individuals hold accounts with commercial banks.

31. When we say the RBI 'supervises' the banking system, the most accurate meaning is that it:

- (A) takes over and runs the daily branch business of every bank.
- (B) advertises against banks to lure away their customers.
- (C) sets rules and watches over banks to keep the whole system safe and sound.
- (D) issues company shares on behalf of the banks it oversees.

32. A student writes: 'The RBI is just a bigger commercial bank, so I should keep my biggest savings there for the most safety.' The best correction is:

- (A) the RBI is indeed the safest bank for personal savings, so the plan is wise.
- (B) the RBI is the central bank that serves banks and the government, not individuals; personal savings belong at a commercial bank.
- (C) the RBI is not a bank at all and has no connection to money or savings.
- (D) the RBI keeps personal savings but simply pays no interest on them.

33. The RBI RAISES its benchmark interest rate. The most likely chain of effects across the economy is that:

- (A) banks can lend more cheaply, so borrowing speeds up everywhere.
- (B) the price of every product in shops is now set directly by the RBI.
- (C) banks must pay more to borrow from the RBI, so they charge customers more, and borrowing across the economy tends to slow.
- (D) all share prices are fixed at the new rate and stop changing.

34. Prices in shops keep climbing for months, and the same 100 buys less than it did last year. This situation is:

- (A) compounding - money earning interest upon interest.
- (B) a dividend - a share of company profit being paid out.
- (C) inflation - a general rise in prices that lowers the buying power of money.
- (D) a benchmark-rate cut announced by the RBI.

35. A family is deciding whether to take a large home loan now. The RBI then announces it has CUT the benchmark interest rate. The most reasonable expectation is that:

- (A) banks may now lend more cheaply, so loan interest could fall, making borrowing now somewhat more affordable.
- (B) loan interest must rise, because a rate cut makes borrowing dearer.
- (C) the price of the house is now fixed by the RBI at the lower rate.
- (D) the family will be paid a dividend for taking the loan.

36. Why does the chapter present keeping inflation in check as one of the RBI's important goals?

- (A) because rising prices always make everyone richer, which the RBI wants.
- (B) because the value of money does not affect ordinary daily life.
- (C) because higher inflation forces banks to pay more interest, which mainly helps savers.
- (D) because stable prices protect the value of people's savings and incomes from being eroded.

37. You pay a shopkeeper by cheque; your friend pays the same shopkeeper by instant electronic transfer. In BOTH cases, what fundamentally happens to the money?

- (A) brand-new rupees are created each time a payment is made.
- (B) the same rupees move from one bank account to another; only the speed and method differ.
- (C) the shopkeeper receives company shares instead of money.
- (D) physical notes are mailed between the two banks each time.

38. Why is an electronic transfer usually preferred over a paper cheque for an urgent payment?

- (A) a cheque creates new money instantly while a transfer does not.
- (B) an electronic transfer is the only legal way to pay a shopkeeper.

- (C) a cheque moves company shares while a transfer moves money.
- (D) it moves money between accounts almost instantly, whereas a cheque must be presented and cleared, which takes time.

39. A cheque is best described as which kind of instruction?

- (A) a written order telling your bank to pay a named person a stated sum from your account.
- (B) a unit of ownership entitling the holder to a share of company profit.
- (C) a promise by the RBI to print new currency on demand.
- (D) a record of the interest the bank has added to your savings.

40. A traveller has no cash but a charged phone with a UPI app linked to her bank, and a roadside stall accepts UPI. Paying by phone works because:

- (A) the phone prints temporary currency notes for the stall.
- (B) UPI instantly moves rupees from her bank account to the stall-owner's bank account.
- (C) the app converts her account balance into company shares to trade.
- (D) the stall-owner posts her a cheque in return for the goods.

41. The chapter calls UPI 'India's gift to the world'. The most fitting reason for that description is that UPI:

- (A) was invented abroad and merely copied into India.
- (B) is a paper-based system older than the cheque.
- (C) is an Indian-built instant payment system, used widely on smartphones, that other countries have noticed and adopted.
- (D) is the official name of India's central bank.

42. A friend says, 'UPI is a brand-new kind of money that has replaced the rupee.' The chapter's correction is that UPI is:

- (A) indeed a new currency that has taken the place of the rupee.
- (B) a form of barter, swapping goods directly without any money.
- (C) a fast electronic way to move existing rupees between bank accounts - a method of payment, not a new currency.
- (D) a kind of company share that people trade for goods.

43. A shopkeeper accepts UPI all day. At day's end, what has UPI done to the day's takings?

- (A) created brand-new rupees equal to the day's sales.
- (B) turned the day's sales into shares the shopkeeper now owns.
- (C) moved existing rupees from many customers' bank accounts into the shopkeeper's bank account.
- (D) stored the takings as physical notes inside the shopkeeper's phone.

- 44.** If you buy 5 shares in a company that has issued one lakh shares in total, you become:
- (A) a very small part-owner of the company, holding a tiny fraction of it.
 - (B) the full owner of the entire company.
 - (C) an employee whom the company must pay a salary.
 - (D) a lender to the company who is owed fixed interest.
- 45.** A company you hold shares in announces a profitable year and pays out part of its profit to shareholders. What you receive is a:
- (A) interest payment, like that on a savings deposit.
 - (B) dividend - your share of the company's profit.
 - (C) repayment of a loan you had given the company.
 - (D) refund of the original price you paid for the shares.
- 46.** A shareholder can gain in two main ways. Which pair names them correctly?
- (A) earning fixed monthly interest, and a guaranteed refund at year-end.
 - (B) collecting a salary from the company, and a free new share each year.
 - (C) receiving a dividend when the company profits, and selling the share for more than it was bought for when its price rises.
 - (D) being repaid the principal with interest, exactly like a depositor.
- 47.** The stock market belongs to the same broad infrastructure category as a bank because both:
- (A) are part of transport infrastructure, moving goods and people.
 - (B) are part of financial infrastructure - the network that moves and manages money.
 - (C) are part of social infrastructure, like schools and hospitals.
 - (D) are part of energy infrastructure, like grids and pipelines.
- 48.** Cautious Asha wants her money safe with a small but certain return; bold Bina is willing to risk losses for a chance at higher gains. The best simple match is:
- (A) a savings or fixed deposit for Asha, and shares for Bina.
 - (B) shares for Asha, and a fixed deposit for Bina.
 - (C) shares for both, since shares are always safe.
 - (D) a fixed deposit for both, since deposits can lose value.
- 49.** Why can a savings deposit promise a known return while a share cannot?
- (A) a share pays interest set by the bank, while a deposit's value floats freely with the market.
 - (B) both pay the same fixed dividend, so neither return is actually known.
 - (C) the RBI guarantees every share's gain but does not guarantee deposit interest.
 - (D) a deposit pays interest set by the bank, while a share's value depends on the company's performance and the market, which can rise or fall.

50. A friend insists, 'Buying shares is just like a savings account - it is sure to grow every year.' The strongest correction is:

- (A) shares always grow faster than savings and can never lose value.
- (B) a savings account is far riskier than shares, so shares are the safe choice.
- (C) shares and savings are identical, so the friend's claim is correct.
- (D) shares can rise OR fall with the company and the market, so they carry real risk, unlike a fixed-interest savings deposit.

51. A caller says, 'I'm from your bank's security team; to protect your account, please read out the OTP we just sent.' The correct action is:

- (A) share the OTP at once, since the caller said it is for your safety.
- (B) share the OTP and your PIN together to be extra safe.
- (C) refuse and hang up - a genuine bank never asks for your OTP - and report it on the cyber-fraud helpline 1930.
- (D) send a small test payment to verify your account is protected.

52. Which single principle best explains why 'never share your OTP', 'never share your PIN' and 'never write your password where others can see it' are all good advice?

- (A) banks regularly need them, so you should keep changing them every day.
- (B) these secrets are the keys to your money, and a genuine bank never needs them from you, so anyone seeking them intends fraud.
- (C) they are only at risk from foreigners, so locals can be trusted with them.
- (D) they matter only for share dealings, not for ordinary bank accounts.

53. Which single set of habits best protects you from cyber-fraud with digital money?

- (A) write your PIN on the back of your card so you never forget it.
- (B) never share your OTP, PIN or password with anyone, and report fraud attempts on the helpline 1930.
- (C) share your OTP only with callers who say they are from the bank.
- (D) post your password in a family group so relatives can help you.

54. The words 'bank' and 'bankrupt' share a common root. The correct link is:

- (A) both come from a word meaning 'gold vault', the bank being full and the bankrupt empty.
- (B) 'bank' comes from 'cheque' and 'bankrupt' from 'currency'.
- (C) both come from the Italian 'banca' ('bench'); a failed moneylender's 'banca rotta', or 'broken bench', gave us 'bankrupt'.
- (D) both come from the Latin for 'to trust', the same root as 'credit'.

55. 'Finance' comes from the Latin 'finis' ('end'), once meaning the settling of a debt. Its modern meaning has broadened to:

- (A) the management of money - saving, lending and investing.
- (B) the building of roads, bridges and ports.
- (C) the printing of currency notes alone.

(D) the trading of goods by barter without any money.

56. A town with good roads but no banks struggles to fund new factories, while a neighbouring town with banks and a stock market raises money easily for the same kind of projects. This contrast best illustrates that:

- (A) roads are useless unless they are owned by a bank.
- (B) a town with banks no longer needs roads at all.
- (C) physical infrastructure alone is not enough - financial infrastructure is needed to raise and channel the money that puts physical projects to work.
- (D) factories can be built only by the Reserve Bank of India.

57. Comparing 5,000 left for two years at 10% SIMPLE interest with 5,000 left for two years at 10% COMPOUND interest, the difference in interest earned is:

- (A) 0 - both give exactly the same interest, since the rate is the same.
- (B) 100 - simple interest gives 1,100 while compound gives 1,000.
- (C) 50 - simple interest gives 1,000 while compound interest gives 1,050, because the second year's compound interest is figured on the grown balance.
- (D) 500 - compounding doubles the interest every year.

58. A borrower says, 'A loan is really a gift, because the bank gives me money.' The chapter's correction is that a loan differs from a gift because:

- (A) a loan must be repaid later with interest, while a gift need not be repaid at all.
- (B) a loan need never be repaid, exactly like a gift.
- (C) a loan earns the borrower interest, while a gift costs money.
- (D) a loan is money the borrower gives to the bank, not money received.

59. The RBI has two related jobs that often pull in different directions: keeping inflation in check and keeping borrowing affordable. Raising the benchmark rate sharply to fight inflation can also:

- (A) make loans more expensive, so households and businesses may borrow and spend less.
- (B) make loans free, since fighting inflation removes all interest.
- (C) have no effect on borrowing at all, since the two are unrelated.
- (D) force the stock market to close until prices stop rising.

60. An adult does four things in a week: deposits savings, takes a home loan, pays bills by UPI, and buys a few company shares. Which statement about these four acts is correct?

- (A) the deposit, loan and share are all guaranteed to grow at the same fixed rate.
- (B) the UPI payment creates new money, while the other three move old money.
- (C) the loan earns the person interest, just as the deposit does.
- (D) the deposit is safe with a known return, the share carries risk and can rise or fall, the loan must be repaid with interest, and UPI just moves existing rupees.

Solutions — Social Science (Class 7), Chapter 20: Banks and the Magic of Finance — Paper 4

Paper 4 — (progressively harder)

Marking: +4 correct, –1 wrong, 0 unattempted. Maximum marks **240**.

Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	D	11	A	21	D	31	C	41	C	51	C
2	A	12	B	22	C	32	B	42	C	52	B
3	A	13	D	23	B	33	C	43	C	53	B
4	B	14	D	24	A	34	C	44	A	54	C
5	D	15	C	25	D	35	A	45	B	55	A
6	B	16	A	26	C	36	D	46	C	56	C
7	D	17	B	27	A	37	B	47	B	57	C
8	D	18	B	28	A	38	D	48	A	58	A
9	D	19	C	29	B	39	A	49	D	59	A
10	B	20	A	30	D	40	B	50	D	60	D

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

Worked Solutions

1. (D) Financial infrastructure is the network that moves and manages money, so both the bank (deposits and loans) and the stock exchange (buying and selling shares) belong there; a canal carries water/goods and is physical, and a college is a social-welfare service.

Grouping the bank with the canal confuses moving money with moving water. 'Costing money to build' is true of every project and does not make them all financial. And a stock exchange handles money flows, so it is financial, not social like a college or hospital.

2. (A) Finance complements physical infrastructure: money can be raised, lent and moved fast, so the ports and grids get used to their full potential. Finance does not replace physical infrastructure, so demolishing the ports is wrong. The two clearly interact, so 'never affect each other' contradicts 'complement'. And inclusive banking (e.g. Jan Dhan) aims to reach everyone, not only the wealthy.

3. (A) A power grid carries electricity (physical infrastructure); a payment system moves rupees between accounts (financial infrastructure), so they are different types. 'Both

deliver something useful' is too loose - usefulness does not make two things the same type. The labels in the third option are swapped: the grid is physical and the payment system is financial. And the chapter explicitly treats banks, markets and payment systems as infrastructure, so 'only roads count' is false.

4. (B) To complement is to work alongside and complete: roads/grids move goods and energy, banks/markets move the money that builds and runs them, so each strengthens the other. 'Makes roads unnecessary' is replacement, not complement. They do different jobs, so 'exact same job' is wrong. And 'entirely unrelated' contradicts the very idea of complementing.

5. (D) Financial infrastructure moves and manages money: banks, the stock market and digital payments all qualify. A highway moves vehicles and goods, not money, so it is physical infrastructure and is the one to remove. The other three each handle money flows, which is exactly what makes them financial infrastructure.

6. (B) A fixed deposit locks money for a set term at higher interest; a savings account suits gentle saving with easy withdrawals; a current account suits a business making many daily transactions. The second option swaps the FD and current roles - a current account is not for locking money up, and an FD cannot be drawn on dozens of times a day. One account cannot serve all three needs well. And an FD cannot give easy daily withdrawals, so the last option is wrong too.

7. (D) Banks keep some deposits as reserves and lend most out, yet manage inflows and reserves so withdrawals can be met - the depositor's right to withdraw stays safe. Only the RBI prints currency, so a commercial bank does not create notes. The bank did not keep every rupee untouched - it lent 80,000 - so the locker myth is wrong. And it need not recall the loan that day; routine reserves and fresh deposits cover ordinary withdrawals.

8. (D) A savings deposit earns interest and, since the bank lends most deposits out, the money works in the economy; hidden cash simply sits idle. A bank deposit is safer than cash at home, not less safe. A savings deposit does not become shares unless he buys them. And a commercial bank lends existing rupees - it does not print money.

9. (D) A deposit is money you place with the bank (you may earn interest); a loan is money the bank gives you that you repay later with interest you pay - opposite directions of money flow. The first wrong option reverses those directions. The second swaps who pays whom: a depositor earns interest, a borrower pays it. And both arrangements involve interest, so 'handed over free' is false.

10. (B) Your balance and right to withdraw are kept safe, but the actual rupees are not idle - the bank lends most of them out, keeping only reserves; so 'untouched' is the misleading word. 'Safe' is fair, since deposits are safer than hidden cash. Banks do record deposits in

accounts, so 'account' is not the problem. And the last option simply restates the locker myth the chapter corrects.

11. (A) Compounding earns interest on interest. Year 1: 10,000 grows to 11,000. Year 2: 11,000 grows to 12,100. Year 3: 12,100 grows to 13,310. Adding a flat 1,000 each year (13,000) is simple interest, not compounding. Adding interest only once gives 11,000, which ignores years two and three. And 10,000 unchanged ignores all growth.

12. (B) Simple interest adds 10% of 2,000 = 200 each year, so A earns $200 + 200 = 400$. Compounding: year 1 gives 200 (balance 2,200); year 2 gives 10% of 2,200 = 220 (balance 2,420), so B's interest is 420. The extra 20 is interest-on-interest. Equal rate and time do not give equal totals once compounding applies. Simple interest is the smaller total, not the larger, so 'A earns 420' is reversed. And compounding helps even over two years - it does not require a very long period to beat simple interest.

13. (D) Doubling from 1 gives 1, 2, 4, 8, 16, 32, 64, 128 on squares 1 to 8, so square 8 holds 128 - the chessboard story showing how repeated doubling (the idea behind compounding) explodes upward. Adding 2 each time (16) is simple growth, not doubling. One grain per square (8) ignores doubling entirely. And 64 is the count on square 7, one doubling short.

14. (D) Letting interest stay in the account makes it join the balance and earn further interest - compounding, which is strongest over long periods like 18 years; the neighbour breaks the chain by withdrawing his interest, so his money grows only in simple steps. Untouched money in a savings account does not lose value or shrink. And both time and rate drive compounding, so the two totals differ greatly - the rate alone does not determine the outcome.

15. (C) A compound balance grows on its previous total, so each year's interest is larger than the year before, bending the line upward - that is interest-on-interest. The rate stays the same; the bend comes from the method, not a rising rate. No new deposits are needed; the same principal grows. And compounding builds on the principal plus accumulated interest - it does not ignore the principal.

16. (A) A loan is repaid with interest: the 1,00,000 borrowed is the principal, and the extra 7,000 is the interest - the price of using the bank's money for a year. The first wrong option swaps the two labels. A dividend is a shareholder's profit share, not a borrower's payment, and the baker took a loan, not a deposit. And the RBI does not set an individual loan's figures - the bank charges interest; the benchmark rate is a different idea.

17. (B) Banks lend mostly from depositors' money, so a loan not repaid threatens both savers' funds and the bank's survival - hence the careful checks. The bank does not print loan money; it lends real deposits. A loan is credit given in trust of repayment with interest, not a gift. And the RBI does not cover defaulted private loans - that risk is the bank's to manage.

18. (B) Credit is money lent in the trust that it will be repaid - exactly a loan given today against a promise to repay tomorrow with interest. Handing the bank money to keep safe is a deposit, the reverse direction. Printing money is the RBI's role and is not lending on trust. And selling an ownership unit is a share, a stock-market transaction, not credit.

19. (C) Compounding works on loans as on savings. Year 1: 1,000 grows by 20% (200) to 1,200. Year 2: 1,200 grows by 20% (240) to 1,440 - the second year's interest is larger because it is figured on 1,200. Adding a flat 200 twice (1,400) is simple interest. Charging once gives 1,200, dropping the second year. And a loan with interest grows beyond the principal, so 1,000 is wrong.

20. (A) The bank lends most of your deposit at a higher rate than it pays you, and shares part of that earning back as your interest. Idle money earns nothing, so the government idea is wrong - and banks, not the government, pay deposit interest. Banks do not print money. And unrepaid loans are losses, not a source of interest for depositors.

21. (D) Interest paid is 5% of 4,00,000 = 20,000. Interest earned is 11% of the 3,00,000 lent = 33,000. Net = 33,000 - 20,000 = 13,000, the gap from charging more than it pays. The loss option applies the wrong rates to the wrong sums. The rates are not equal (11% vs 5%), so it does not break even. And 16% on all 4,00,000 invents a rate and a base that do not exist.

22. (C) Deposited savings fund loans for homes, businesses and farms, so the money circulates and supports growth; buried cash cannot do this. Banks do not burn deposits. The interest comparison is reversed - deposits earn interest while buried cash earns nothing. And deposits chiefly fund domestic lending, not a wholesale export of money abroad.

23. (B) Banks lend most deposits out, so your savings funding a farmer's seeds is the deposit at work, connecting savers and borrowers. A sealed, untouched locker is the very myth the chapter rejects. Turning deposits into stored gold would still leave them idle. And posting the cash back would simply remove it from the banking system.

24. (A) An account lets a person save safely and reach formal credit, reducing reliance on costly informal lenders - the heart of inclusive banking. It does not ban borrowing; it widens fair access to it. It does not force risky share investment. And it does not remove the need to save - it makes saving safer.

25. (D) Inclusive banking means the benefits of banking - safe savings, easy payments and access to credit - reach everyone, not just the well-off. It widens access rather than limiting it. Opening an account is not the same as receiving free monthly cash. And it brings people into the formal banking system, not away from it toward barter.

26. (C) The RBI was established in 1935 and Jan Dhan was launched in 2014. The first wrong option swaps those two dates. The years 1950 and 1853 are distractor dates from

general knowledge that belong to neither event.

27. (A) The RBI is the 'banker to banks' - commercial banks keep accounts there, while ordinary people bank at commercial banks - so a personal RBI account is not available at any age. That rules out both 'yes' options. And the RBI very much deals with money - it prints currency and regulates banks - so 'no role in money' is plainly wrong.

28. (A) Printing the nation's currency is the RBI's exclusive role as central bank. Accepting deposits, giving home loans and allowing withdrawals are everyday jobs of commercial banks, where ordinary people bank - the RBI does not offer these services to the public.

29. (B) The RBI does not open accounts for individuals - that is for commercial banks - so the schoolchildren's savings accounts are outside its role. Printing currency, setting the benchmark rate and supervising banks are all genuine central-bank functions described in the chapter.

30. (D) The phrase means the RBI does for commercial banks what they do for individuals: it holds their accounts and lends to them. It is not a rival chasing ordinary depositors. It is the central bank, not a subsidiary of any commercial bank. And it serves the country's own banking system, not only foreign banks.

31. (C) Supervision means regulating and overseeing banks so the system stays stable and trustworthy. It does not mean running each branch day to day. The RBI is not a rival competing for customers. And issuing shares is a stock-market matter, not central-bank supervision.

32. (B) The RBI is the central bank - banker to banks and regulator - not a place for personal accounts, so savings go to a commercial bank; it is not merely a bigger version of one. It is genuinely a bank (the central bank), so 'not a bank at all' is wrong. And since it holds no personal accounts, the no-interest claim is beside the point - the issue is that individuals cannot bank there.

33. (C) The benchmark rate is what the RBI charges banks; raise it and banks' costs rise, so they lend dearer and borrowing tends to cool. A rise makes borrowing costlier, not cheaper, so 'lend more cheaply' reverses the logic. The benchmark rate influences lending broadly, not the price of every product. And it does not freeze share prices - shares still rise and fall with companies and the market.

34. (C) Inflation is a general rise in prices over time, so money buys less - exactly the falling buying power described. Compounding is interest growing on interest, a savings idea, not a price rise. A dividend is a shareholder's profit share. And a benchmark-rate cut is an RBI lending decision, not the price rise itself.

35. (A) A cut in the benchmark rate lowers banks' borrowing costs, so they tend to lend more cheaply and loan interest can fall, favouring borrowing now. A cut lowers, not raises, borrowing costs. The RBI does not set the price of the house. And borrowers pay interest - they do not receive dividends, which go to shareholders.

36. (D) If prices race ahead, the same money buys less, quietly shrinking the worth of savings and wages, so the RBI keeps inflation in check to protect money's value. Rising prices do not make everyone richer. The value of money matters greatly to daily life. And the chapter frames inflation as a threat to be controlled - any interest change does not outweigh the erosion of buying power, so it is not framed as a help to savers.

37. (B) Whether by cheque or electronic transfer, the same rupees shift between accounts - the methods differ in speed and convenience, not in what moves. No new money is created by a payment. The shopkeeper receives money, not shares. And modern transfers move account balances electronically, not by mailing notes.

38. (D) Electronic transfers move money between accounts almost instantly, while a cheque must be presented and cleared, taking longer - so transfers suit urgent payments. Neither method creates new money. A cheque remains a legal payment instrument, so a transfer is not the only legal way to pay. And a cheque orders payment of money, not the movement of shares.

39. (A) A cheque is a paper instrument ordering your bank to pay a named person a stated sum from your account. An ownership unit with a profit claim is a share. An RBI promise to print money describes neither a cheque nor reality. And a record of added interest is a statement entry, not a cheque.

40. (B) UPI shifts existing rupees from her account to the seller's account in seconds - no cash needed. A phone does not print currency. The app moves money; it does not turn an account into shares. And a UPI payment is electronic and immediate, not settled by a posted cheque.

41. (C) UPI is praised as India's own innovation - a fast, smartphone-based payment system admired and taken up beyond India. It was built in India, not copied from abroad. It is digital and modern, not a paper system older than cheques. And the central bank is the RBI, not UPI.

42. (C) UPI moves the same rupees between accounts almost instantly - it is a payment method, not new money, and it has not replaced the rupee. Barter is goods-for-goods with no money, the opposite of a money transfer. And a share is company ownership, unrelated to paying a seller through an app.

43. (C) UPI shifts existing rupees from customers' accounts to the shopkeeper's account; no new money is made and nothing physical is stored in the phone. It does not create rupees - a payment system moves money, it does not mint it. It does not produce shares,

which are company ownership. And the phone holds no physical notes - the balance sits in the bank account.

44. (A) Owning shares makes you a part-owner, and 5 of one lakh shares is a tiny fraction, so you own a very small part. You are not the sole owner with so few shares. Buying shares makes you an owner, not a salaried employee. And a shareholder owns part of the company, unlike a lender who is owed fixed interest.

45. (B) A dividend is the share of profit paid to each shareholder, so that is what you receive. Interest is paid on deposits or loans, not as a profit share to owners. You bought ownership; you did not lend the company money. And a dividend is not a refund of your purchase price - you still keep your shares.

46. (C) Shareholders earn through dividends (a profit share) and through a rising share price they can sell at a gain. They do not get fixed monthly interest or guaranteed refunds - those describe a deposit. They are owners, not salaried employees getting free shares. And they are not depositors repaid principal plus interest; a share's value can also fall.

47. (B) Banks and stock markets both move and manage money, so both are financial infrastructure. They do not move goods (transport), provide welfare services (social), or carry power (energy) - those are different infrastructure types.

48. (A) A savings or fixed deposit gives Asha safety and a certain return; shares suit Bina's appetite for risk and possible higher gains. Swapping them ignores that shares carry risk and deposits are safe. Shares are not always safe, so 'shares for both' is wrong. And a fixed deposit does not lose value, so the last option misstates how deposits work.

49. (D) A deposit earns interest the bank states in advance, so its return is known; a share's worth swings with company fortunes and the market, so it is uncertain. The first wrong option reverses which one floats. Deposits pay interest and shares may pay dividends - not the same fixed amount for both. And the RBI does not guarantee share gains; shares carry real risk.

50. (D) Share prices move up and down, so shares carry real risk - they are not a guaranteed grower like a fixed-interest deposit. They do not always grow or never fall. A savings deposit is safe with fixed interest, so it is the safer of the two, not the riskier. And shares and savings are not identical, so the claim cannot stand.

51. (C) No real bank asks for your OTP, PIN or password, so anyone who does is a fraudster - refuse and report on helpline 1930. Reading out the OTP, adding your PIN, or sending a payment would each hand control to the scammer; the claim that it is 'for your safety' is the very trick used in such fraud.

52. (B) OTPs, PINs and passwords are the secret keys to your account; a real bank never requires them from you, so any request signals fraud - one principle covering all three

rules. Banks do not regularly need them, so daily changing is not the point. Fraud is not limited to foreigners. And these secrets protect bank accounts and payments, not just share dealings.

53. (B) Keeping your OTP, PIN and password private and reporting fraud on 1930 is the safe approach. Writing the PIN on the card hands it to any thief. Sharing the OTP with 'bank' callers is exactly the scam, since a genuine bank never asks. And posting a password anywhere, even to family, exposes it to misuse.

54. (C) Medieval moneylenders worked at benches - 'banca' in Italian - giving us 'bank'; a failed one had his 'banca rotta', a 'broken bench', the source of 'bankrupt'. The root is 'bench', not 'gold vault'. Neither word comes from 'cheque' or 'currency'. And the 'to trust' root ('credere') gives 'credit', a different word.

55. (A) From settling a debt (an 'end' to it), 'finance' grew to mean managing money: saving, lending and investing. Road-building is physical infrastructure, not finance. Printing notes is only the RBI's narrow task, not all of finance. And barter is exchange without money, the opposite of money management.

56. (C) Finance complements physical infrastructure: banks and markets raise and move the money that lets factories and projects be built and used, which the roads-only town lacks. Roads are useful regardless of who owns them, so 'useless unless owned by a bank' is false. Finance complements, not replaces, roads, so the town still needs them. And ordinary factories are funded through commercial banks and markets, not built by the RBI, which is the central bank.

57. (C) Simple interest adds 10% of 5,000 = 500 each year, so $500 + 500 = 1,000$. Compounding: year 1 gives 500 (balance 5,500); year 2 gives 10% of 5,500 = 550 (balance 6,050), so interest is 1,050. The difference is $1,050 - 1,000 = 50$, the interest-on-interest. Equal rates do not give equal totals once compounding applies, so 'o' is wrong. The '100' option reverses which method is larger. And compounding at 10% does not double the interest each year, so '500' is far too large.

58. (A) A loan is credit - money lent in trust that it will be repaid later with interest - unlike a gift, which is not repaid. So 'need never be repaid, like a gift' is wrong. A borrower pays interest; the loan does not earn the borrower interest. And a loan is money the bank gives the borrower, not money the borrower gives the bank - that would be a deposit.

59. (A) A higher benchmark rate raises banks' costs, so they charge more for loans, cooling borrowing and spending - the trade-off the RBI weighs against fighting inflation. Loans do not become free. The rate and borrowing are tightly linked, not unrelated. And the RBI does not shut the stock market to control prices.

60. (D) A deposit is safe with a known interest return; a share is an investment that can rise or fall; a loan is money the person must repay with interest; UPI simply moves existing

rupees. Not all three grow at one fixed rate - the share has no fixed rate and the loan is a cost, not a gain. UPI moves money, it does not create it. And a loan costs the borrower interest; it does not earn them interest the way a deposit does.